Rigetti Computing, Inc.

RGTI NASDAQ

Hold	$16.46 ▼ 3.09%	12M Price Target **$22.00**	52-Week Range $12.08 – $58.15	Market Cap $5.47B

RGTI: Quantum Hype Cooling, But Federal Money Still Coming

WHAT HAPPENED

- RGTI down 3% today and sitting at just 10% of its 52-week range ($12–$58) — this stock has been crushed from its highs. The Motley Fool piece warning of a "sharp selloff in 2H 2026" is adding fuel, and volume today (7M) is way below the 20M+ we saw earlier in the week, meaning the selling is drying up but so are buyers.
- Director Ray Johnson dumped ~$4.3M in stock in June around $20-21 — that's a yellow flag. Insiders sold near recent highs and nobody's buying the dip, which tells you management doesn't see a near-term catalyst either.

WHY IT MATTERS

Here's the real story: RGTI ran from single digits to $58 on quantum computing hype, and now it's giving back the froth as investors realize commercial revenue is still tiny (~$15-20M/year on a $5.5B market cap — you're paying $300+ for every $1 of sales). The bullish options flow (calls outnumbering puts nearly 2-to-1) suggests traders are betting on a bounce, but that's a trade, not an investment. The bigger picture: quantum is a "when, not if" technology, and RGTI's fate is tied more to federal science funding and the timing of quantum supremacy milestones than anything they can control quarter-to-quarter. This is a lottery ticket, not a compounder — size it accordingly.

POLICY & POLITICAL WATCH

The key catalyst to watch is the National Quantum Initiative Reauthorization Act — the original 2018 law expired and Congress has been dragging its feet on renewal, but there's bipartisan support to expand funding to ~$2.7B over 5 years. If it passes, RGTI is one of the few US-based quantum hardware companies positioned to grab DOE and DARPA contracts. Also watch export controls: the Commerce Department has been tightening restrictions on quantum tech exports to China, which is a double-edged sword — it protects RGTI's IP moat but shrinks their addressable market. The CHIPS Act 2.0 discussions also include quantum provisions, so any movement there is a direct tailwind.

IS IT EXPENSIVE?

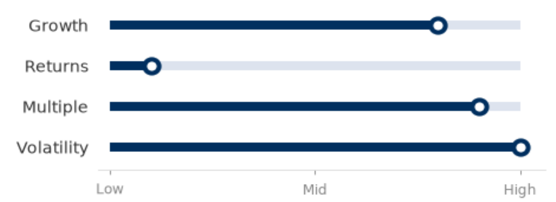
This stock is stupid expensive on any traditional metric — you're paying roughly 300x revenue, versus maybe 15-20x for a normal high-growth tech name. That's only justifiable if you believe RGTI hits a quantum breakthrough in the next 2-3 years that unlocks billions in enterprise contracts. At $16, it's cheaper than the $58 peak but still priced for a lot of things to go right, so "cheap" is relative — this is a bet on the technology, not a value play.

WHAT COULD GO WRONG

Key Data

Key Data	
Price (USD)	**$16.46**
12M Price Target	**$22.00**
Upside / (Downside)	**+33.7%**
Market Cap	**$5.47B**
FY2026E Revenue	**$18M**
FY2027E Revenue	**$32M**
FY2026E EPS	**($0.28)**
FY2027E EPS	**($0.22)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

RGTI — Rigetti Computing, Inc. | July 10, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$20.00**	$17.00	**$13.00**
6 Months	**$28.00**	$20.00	**$11.00**
1 Year	**$38.00**	$22.00	**$9.00**
2 Years	**$55.00**	$28.00	**$7.00**
5 Years	**$100.00**	$40.00	**$5.00**
10 Years	**$250.00**	$60.00	**$2.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.3%) and Consumer Staples (+1%) — that's a defensive rotation, not risk-on, which is bad for speculative names like RGTI. Money's hiding out.

COOLING OFF: Small-cap growth and speculative tech broadly — 5-day performance across sectors is negative, suggesting a mild risk-off tone.

ROTATION WATCH: Money is moving toward defensives and away from story stocks. Until that reverses, quantum, AI-adjacent, and other "future tech" names will struggle to catch a bid regardless of company-specific news.

RELATED PLAY: If you want quantum exposure without single-name risk, the Defiance Quantum ETF (QTUM) spreads the bet across multiple players. And if federal science funding accelerates, the picks-and-shovels play is companies like Coherent (COHR) making the lasers and photonics that quantum systems need.

WHO'S WINNING IN THIS SPACE?

- IONQ (IonQ): The bigger, better-funded quantum peer — usually leads the group on any positive news; watch it as the tell for RGTI
- QBTS (D-Wave Quantum): Has actual commercial revenue from annealing systems, giving it a "real business" premium RGTI lacks

RGTI CONTEXT: RGTI is lagging both peers on both fundamentals and stock performance from highs — it's the higher-beta, lower-conviction way to play the theme. If quantum runs, RGTI probably runs harder; if it fades, RGTI falls further. It's the levered play on the sector.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — cautiously interested, not pounding the table. The tech is real but the timing is uncertain and the valuation still has hype baked in.

POSITION SIZE: 1-2% max — this belongs in your speculative sleeve, not your core portfolio. It could 3x or go to $5, and both outcomes are plausible.

ENTRY POINTS: I'd wait for $13-14 (near the 52-week low) or a positive catalyst like the Quantum Initiative reauthorization passing. Don't chase.

TIME HORIZON: 18-36 months — you need to give the technology and the policy cycle time to play out. This is not a trade.

WHEN TO BAIL: Dilutive equity raise below $15, loss of a major government contract, or a competitor announcing commercial-scale quantum advantage. Also bail if insider selling continues without any offsetting buying.

HEDGING: Keep the position small enough that a 50% drawdown doesn't hurt — that's the best hedge for a lottery ticket. If you want to get fancier, buy a small amount of put options (contracts that pay off if the stock falls) about 20% out of the money as insurance.